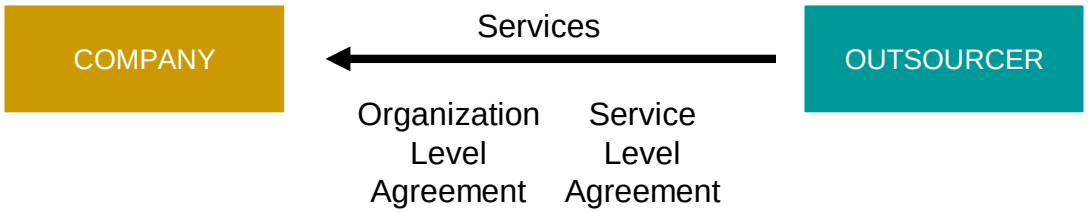
Business Process Engineering
Week # 12/13

FALL 2025

Agenda

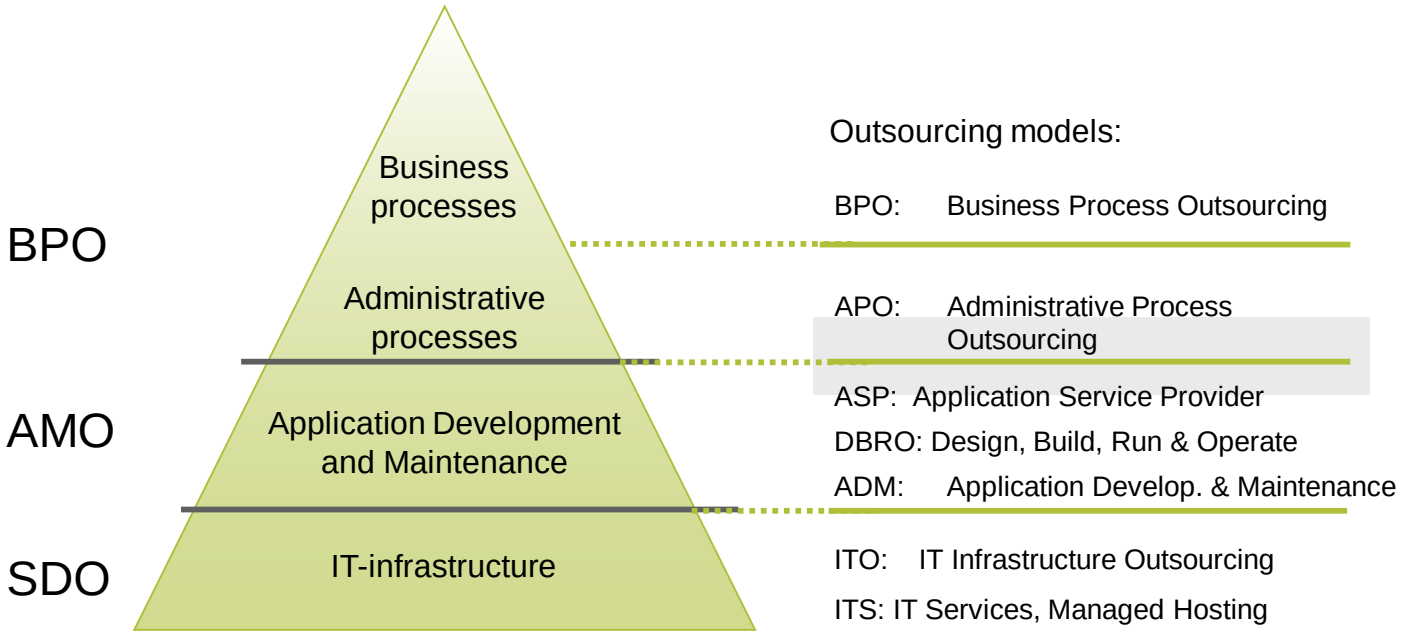
- Introduction to Outsourcing
- Preparing for Outsourcing
- Running Outsourcing
- Next Steps in Outsourcing

INTRODUCTION
A Working Definition of Outsourcing

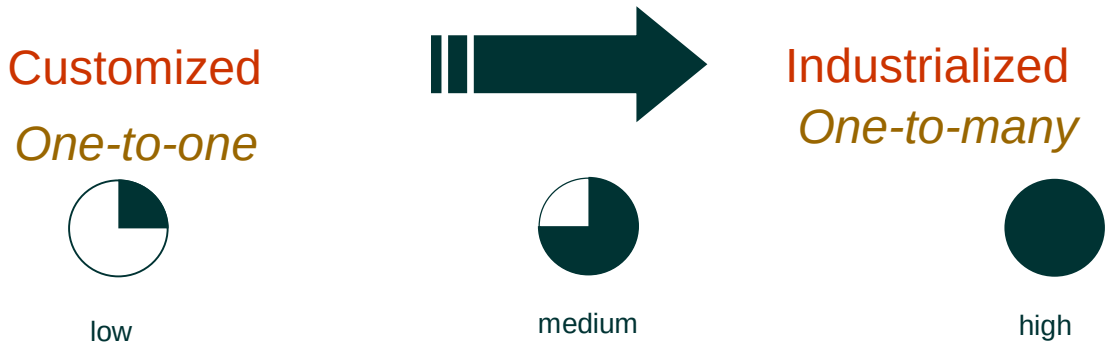


Outsourcing denotes the continuous procurement of services from a third party, making use of highly integrated processes, organization models and information systems.

INTRODUCTION
Types of Outsourcing



INTRODUCTION
BPO - Business Process Outsourcing



Custom designed services leveraging know-how

Similar services delivered to multiple clients

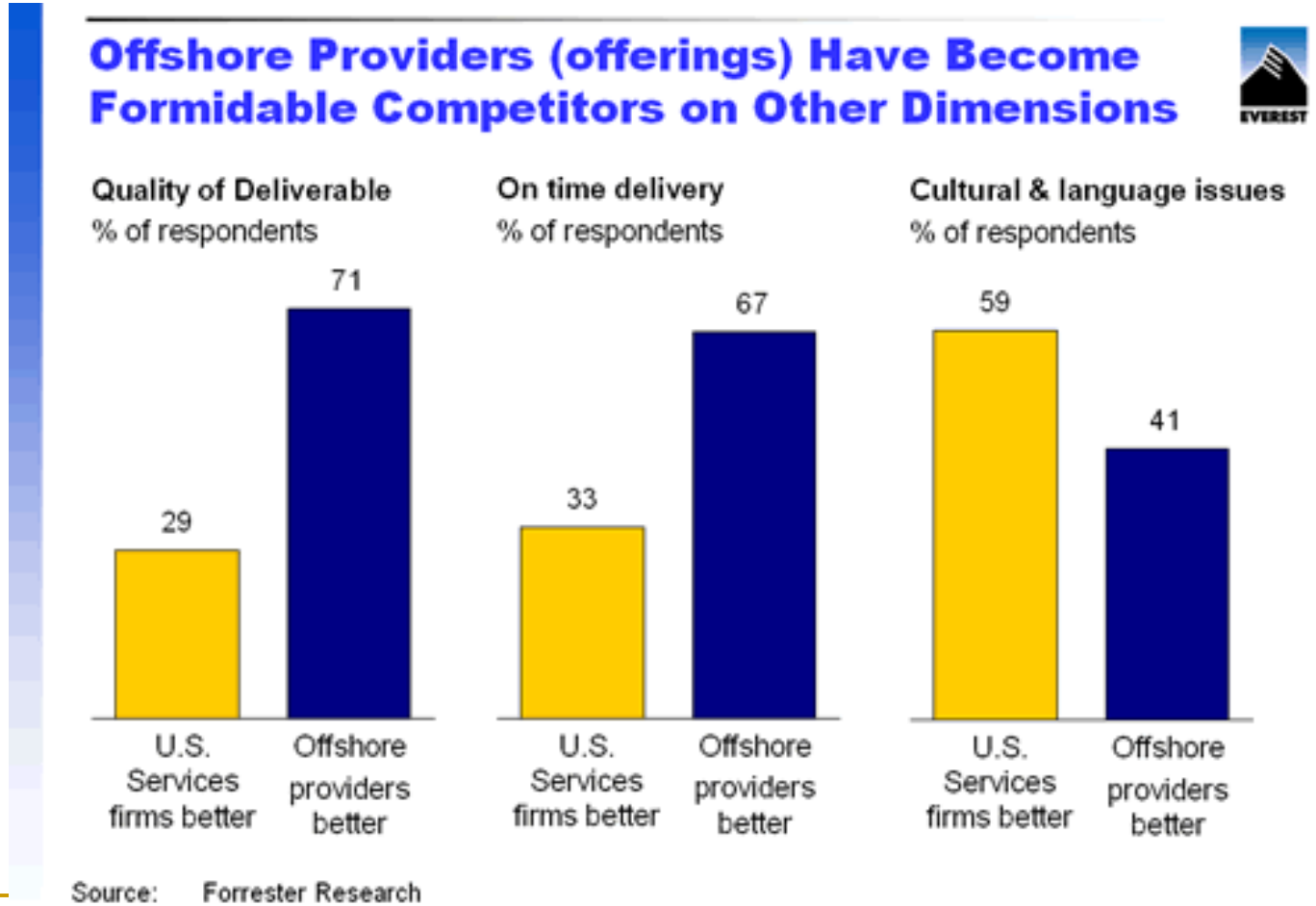
Single service delivered to multiple clients simultaneously

INTRODUCTION
Sourcing of Outsourcing

- Off-Site – Local service providers
- Near Shore – Proximity cross-border service providers
- Off-Shore – Remote Cross-border service providers

INTRODUCTION

Trend is clearly towards Off-Shore



INTRODUCTION

Why do outsourcing? - Survey Results

- Access best in class business processes
- Harness leading technologies
- Increase efficiencies
- Enhance capabilities
- Expand service
- Enrich customer relations
- Improve supplier relations
- Free up management time
- Decrease operating costs

INTRODUCTION

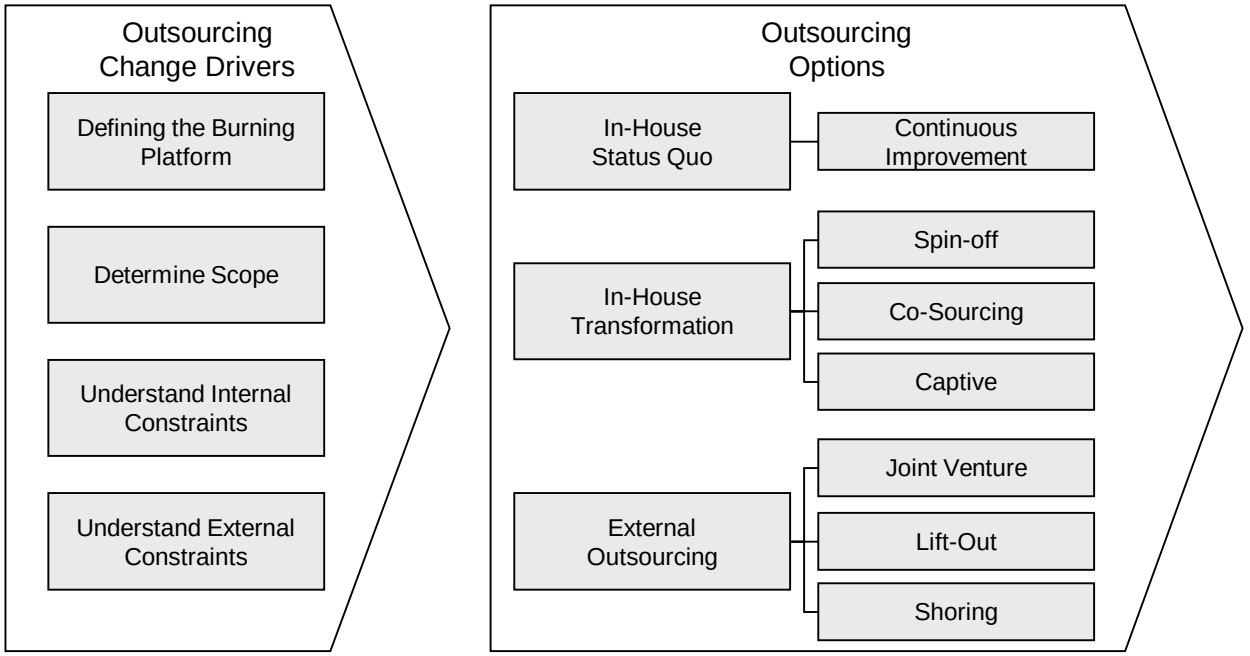
Value Contribution of Outsourcing



Agenda

- Introduction to Outsourcing
- Preparing for Outsourcing
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PREPARING FOR OUTSOURCING
From Drivers to Strategic Options



PREPARING FOR OUTSOURCING

The Burning Platform

BUSINESS CONCERNS

- Perceived low availability of services
- Perceived low level of service quality (accessibility, turn-around time etc.)
- No clear service reporting and service management
- Slow and error-prone service introduction
- Unsatisfactory support of remote sites & subsidiaries
- No service culture
- Cost allocation & charges unclear and cannot be influenced by business decisions

IT CONCERNS

- Unreasonable service level expectations from business
- No cost & resource awareness
- Large number of non-standard work requests
- High-level of business applications
- Inefficient / underutilized server platform, aging central technology platforms and complex networks
- Large and divers skill pool required to support infrastructure

Change Drivers	Management Control	Service Scope & Level	Budget Levels	Financial Flexibility	Infrastructure Quality	Skill & Capability Pool	Organizational Impact	Time to Benefit
Client Rating								

PREPARING FOR OUTSOURCING

Outsourcing Options & Contribution

Sourcing Option	Management Control	Service Scope & Level	Budget Levels	Financial Flexibility	Infrastructure Quality	Skill & Capability Pool	Organizational Impact	Time to Benefit
Spin-off	High	Limited	Limited	None	None	None	Limited	Short
Co-Sourcing	Medium	Medium	Medium	Limited	Medium	Medium	Limited	Medium
Captive	High	Medium	Low	Low	Medium	Low	Medium	Long
Joint Venture	Medium	Medium	Medium	Medium	Medium	Medium	Medium	Long
Lift-Out	Low	Strong	Strong	Medium	Medium	Medium	Strong	Medium
Shoring	Low	Strong	Strong	Strong	Strong	Strong	Strong	Short

PREPARING FOR OUTSOURCING
Understand Internal Constraints

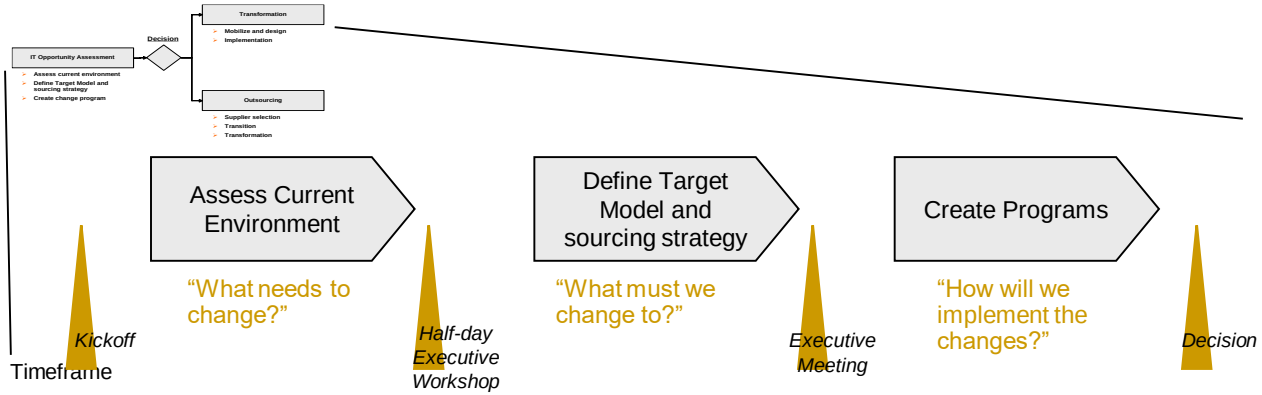
- **Availability of Seed Money** – I need to reduce cost, this requires efficiency gains, efficiency gains require investments…
- **Structural Inflexibility** – Your current business and application architecture may not allow for simple and low cost ICT changes
- **Time to Benefit** – Most "quick-wins" have already been explored over the last couple of years. Major initiatives have pay-backs seldom shorter than 24 – 36 months
- **Business vs. IT Projects** – Most projects are invisible to the normal business users and do not directly contribute to business revenue generation
- **Capacity & Know-How** – Are there sufficient internal resources available to drive the change in a timely fashion? Will heavy external resource usage kill the business case?
- **Change Capacity** – Can the internal organization absorb this change now (ex. Overall moral, unions, etc.)
- **Sustainability** – Can initiatives be maintained in light of business development?

PREPARING FOR OUTSOURCING
Understand Partner Constraints

Criteria	Assessment
Financials	• Service providers are mainly driven by volume, and to a lesser extend by margin and margin composition
Duration of Contract	• 3 years is standard, but will not allow time for fundamental transformations. • 5 years gives more room for change
Scope of Technology & Services	• In how far can the existing park be integrated into provider's infrastructure & skill pool
Demand Stability	• In how far can demand for service delivery be accurately assessed?
Scope of Control	• How much insight & governance control does the client want to exert? Which service model will prevail?
Transformation Potential	• What are the potential synergies in terms of people, processes, infrastructure etc. What are the hand-back constraints? How will benefits be shared?
Follow-up Business	• What else might be offered to the client (ex. Business process outsourcing?)
…	…

PREPARING FOR OUTSOURCING

Approach to Outsourcing



High Level Activities

- Baseline the business and operating direction and strategy as applicable
- Benchmark expenses to similar industry segments across functions/processes
- Interview key stakeholders
- Understand key drivers of resource utilization to set a baseline and construct an economic model
- Plan and develop material for executive workshop

- From workshop, identify and build out "to-be" state
- Define future sourcing strategy
- Identify initial areas of cost savings and prioritize based on future direction
- Identify 4-5 areas for focused planning
- Identify Infrastructure & Operations management and organization impacts and corresponding risks

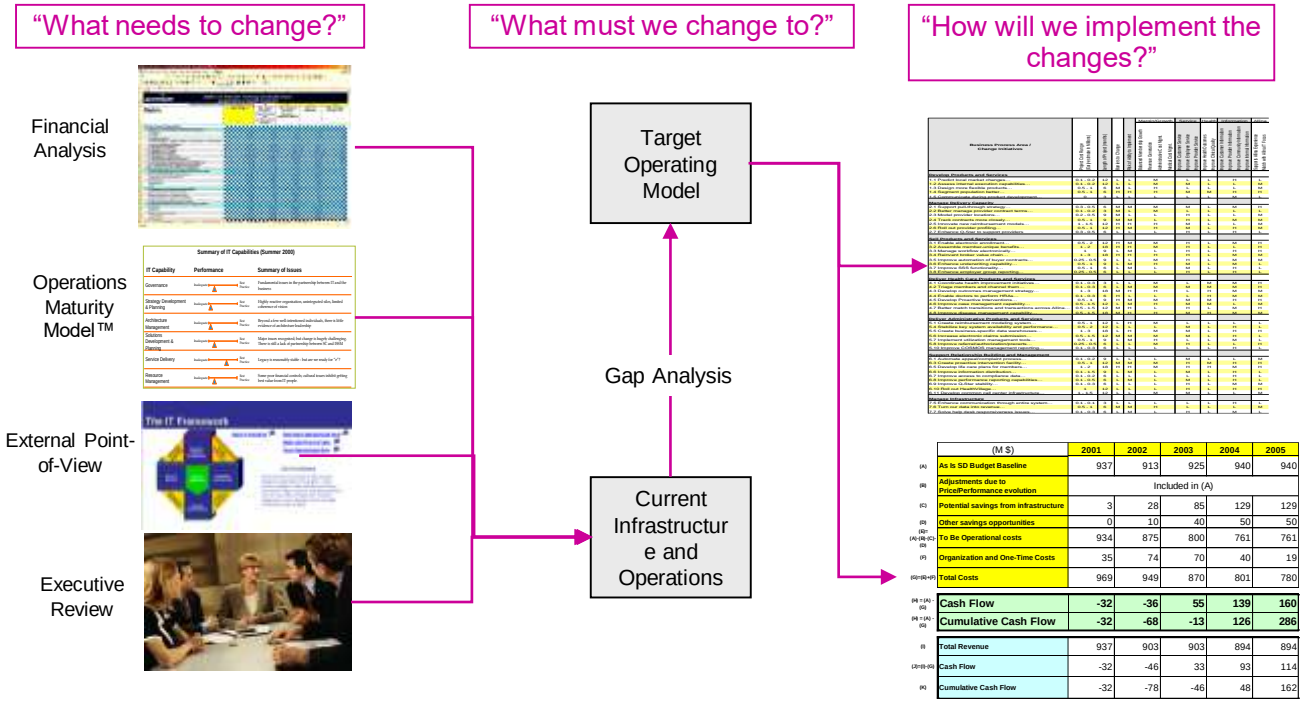
- Develop high-level implementation roadmaps based on approved target operating model and sourcing strategy
- Identify key stakeholders and related action plan
- Define economic model for the integrated change program

PREPARING FOR OUTSOURCING
Do not forget TUPE

- TUPE stands for The Transfer of Undertakings (Protection of Employment) Regulations 1981. The Regulations were introduced to safeguard employees' rights in the event of a transfer of an undertaking, business or part of a business. This includes:

  - The obligation to inform and consult all employees in scope transfer
  - Transferee inherits all claims and rights
  - Continuity of employment is preserved for employees
  - Employees transfer on their existing terms and conditions of employment

PREPARING FOR OUTSOURCING
Key Data Components



	(M $)	2001	2002	2003	2004	2005
(A)	As Is SD Budget Baseline	937	913	925	940	940
(B)	Adjustments due to Price/Performance evolution	Included in (A)				
(C)	Potential savings from infrastructure	3	28	85	129	129
(D)	Other savings opportunities	0	10	40	50	50
(E)= (A)-(B)-(C)-(D)	To Be Operational costs	934	875	800	761	761
(F)	Organization and One-Time Costs	35	74	70	40	19
(G)=(E)+(F)	Total Costs	969	949	870	801	780
(H) = (A) - (G)	Cash Flow	-32	-36	55	139	160
(H) = (A) - (G)	Cumulative Cash Flow	-32	-68	-13	126	286
(I)	Total Revenue	937	903	903	894	894
(J)=(I)-(G)	Cash Flow	-32	-46	33	93	114
(K)	Cumulative Cash Flow	-32	-78	-46	48	162

Next Steps in Outsourcing

- Outsourcing will continue to grow, mainly for BPO…
- Services will become more standardized, creating new norms
- New service providers will appear in Eastern Europe and China
- Asian players will move on-shore and compete head-on with traditional local players
- Local regulations will continue to be opened up to support cross-border services
- Politics will start to address increasing social issues and concerns